BRIGHT HERMOSA BUILDERS INC.	Document No.	Section No.
	Effective Date:	Revision No.
	PROCEDURAL MANUAL	
	CONTRACTOR EVALUATION	

OBJECTIVE	To ensure contractors consistently performs based on the high standards and meet the management system requirements of the company through periodic evaluation. To ensure that the contractor's processes and services are constantly improved.
SCOPE	The procedure covers the evaluation of the service providers.

Responsibility	Activities		Documents
On-site Project Team	Review Contractor's Record	Note 1	*Contractor Work Accomplishment Report* *Incident/Accident Report* *Contractor's Billing* *Quality Issues and Concerns/Punchlisting*
Project Engineer	Evaluate Contractor	Note 2	*[F-CEVAL-001] Contractor Evaluation Form*
DD Manager	Review and Approve Evaluation		*[F-CEVAL-001] Contractor Evaluation Form*
DD Director	Recommendation for the result of Evaluation		*[F-CEVAL-001] Contractor Evaluation Form* *Recommendation Letter*
Project Engineer	Discuss Evaluation Results With the Contractors	Note 3	*[F-CEVAL-001] Contractor Evaluation Form* *Recommendation Letter*

NOTE 1: [Review Contractor's Records]

1. The frequency and basis of the evaluation are as follows:

Type of Supplier	Evaluator	Frequency	Basis of Evaluation
Contractor *(Service provider)*	▪ On-site Project Team	▪ 25% accomplishment on-site ▪ 50% accomplishment on-site ▪ 100% accomplishment on-site	▪ Contractor's Accomplishment on-site ▪ Punch listing ▪ Incident/Accident Report ▪ Quality Issues and Concerns ▪ Contractor's Billing

NOTE 2: [Evaluate Contractor]

1. Evaluate contractors based on the following:
   a. Contractor's Accomplishment On-site
   b. Punch listing
   c. Incident/Accident Report
   d. Quality and Issues Concerns
   e. Contractor's Billing

2. Prepare and use the appropriate form for evaluation as follows:

Service Provider	Form
Contractor	Contractor Evaluation Form (CEF)

3. Establish and use performance monitoring, evaluation, and re-evaluation criteria for external providers based on their capacity to provide processes and services in compliance with quality, environmental, health, and safety requirements.

4. Include a review of the services and contractors that the company prefers to guarantee that the service offered meets all standards. Control Services and contractors by focusing on the prevention of nonconformities in service and contractor performance.
5. Evaluate the contractor based on the monitoring of issues and concerns that arise during the contractor's process (e.g., non-compliance with planned timeline, delays in deliverables, events relating to environmental, health, and safety).
6. Check the ability of externally delivered services to help the company accomplish its overall goals against the initial specifications.

NOTE 3: [Discuss Evaluation Results with the Contractors]

1. Copy of Evaluation results are issued to Contractors on their company email address, and improvement measures are addressed with them in a sit-down discussion. The outcome of the evaluation could be "Passed" or "Failed".
2. A contractor may fail the evaluation if there are disparities in the service and the contractor does not respond to provided remedies to correct those inconsistencies.

No. of Failure	Company's Action
1st failure in performance	Written warning to the contractor about the result of the evaluation
2nd failure in performance	Second written warning to the contractor that a repeat failure or nonconformance will result in delisting from the Accredited List of Contractors. Require contractor to submit an Action plan with specific timeframe.
3rd failure in performance	Automatically delisting from the Accredited List of Contractors. No further should be placed.

3. If the contractor is delisted, they will be notified in writing as soon as possible, with an account of the problem and potential solutions.
4. Contractor was delisted from the list due to noncompliance with service requirements. However, improvement measures must be agreed upon and implemented in order to address the nonconformity.
5. Determine the nature and scope of operational control over external suppliers using risk-based thinking:
    a. Environmental aspects and associated environmental impacts
    b. Risks and opportunities associated with the provision of services
    c. Compliance obligation

RECORDS GENERATED:

1. (CEF) Contractor Evaluation Form
2. Recommendation Letter

REFERENCES:

1. Procedural Manual: Contractor Evaluation
2. Data submitted by Contractor

Revised by:	Reviewed by:	Recommending Approval by:	Approved by:
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